

Why Do I Need to Understand This?

Insurance is boring, but it is very important. Being able to schedule your own doctor's appointment and understanding how your insurance works is about as adult as it gets. But in addition to being a sign of your maturity and independence, insurance plays a profoundly important role in managing your personal and financial risk. Not having car insurance can land you in a mess of financial and legal trouble, and not having health insurance can leave you with an astronomical medical bill should you have a serious accident.

Young adults are especially unaware of insurance because they often stay on their parents' health insurance until they are twenty-six years old. This means many people live one-third of their lives not understanding their health insurance and then, when they turn twenty-seven, they are expected to take complete control of it. For many people, myself included, this abrupt transition can be overwhelming and make you think that it might be easier to just not get health insurance. But even if you are a healthy person who has not needed any type of medical treatment in 10 years, going without insurance is a terrible idea.

Although insurance may not be the first thing that comes to mind when you think of personal finance, having insurance protects you from losing a large portion, or possibly all, of your money in an accident. There are countless painful stories about people losing everything to medical debt. A woman from Florida was diagnosed with cancer and thought that her chemotherapy would be covered by insurance. After getting her treatment, she was served hundreds of thousands of dollars in bills because it turned out only a small portion (the bed) was covered. She ended up filing for bankruptcy because she was unable to get out from